WHOLESALE DISTRIBUTION AGREEMENT

This Wholesale Distribution Agreement is made and entered into as of the ninth day of December, 2019, by and between Brightwater Systems ("Manufacturer") and Hartwell Supply Co. ("Wholesaler").

RECITALS

WHEREAS, Manufacturer wishes to sell its heating, ventilation and air-conditioning products (the "Products") to Wholesaler for resale; and

WHEREAS, Wholesaler wishes to purchase and resell the Products on the terms below;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree as follows:

SECTION 1. APPOINTMENT

1.01 Manufacturer hereby appoints Wholesaler, and Wholesaler hereby accepts appointment, as a non-exclusive authorized distributor of the Products in the States of Ohio, Indiana, Kentucky and Michigan and in western Pennsylvania (the "Territory").

SECTION 2. TERM AND RENEWAL

2.01 The initial term of this Agreement begins on the first day of January, 2020 and ends on the thirty-first day of December, 2020.

2.02 Thereafter this Agreement renews automatically for successive renewal terms of one (1) year each, unless either party gives the other ninety (90) days' written notice of non-renewal.

SECTION 3. WARRANTY

3.01 Manufacturer warrants the Products against defects in materials and workmanship for the periods set forth in Manufacturer's published limited warranty.

3.02 Wholesaler has no authority to extend, and shall not extend, any warranty on Manufacturer's behalf.

SECTION 4. INSURANCE

4.01 Each party shall carry commercial general liability insurance in an amount of not less than Two Million Dollars ($2,000,000) per occurrence, and shall furnish certificates evidencing that coverage upon the other party's request.

SECTION 5. CONFIDENTIALITY

5.01 The terms of this Agreement, including without limitation all pricing and program terms, are confidential. Neither party shall disclose them to any person other than its professional advisers.

SECTION 6. GOVERNING LAW

6.01 This Agreement shall be governed by the laws of the State of Ohio, without giving effect to its conflict-of-laws rules.

SECTION 7. INCENTIVE PLAN

7.01 Wholesaler's 2020 incentive plan is set forth in Rider 1, which is attached to and made a part of this Agreement.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

Brightwater Systems
By: _____

Hartwell Supply Co.
By: _____

RIDER 1

2020 Wholesaler Incentive Plan

R.1 **Definitions.** "Program Year" means the period from January 1, 2020 through December 31, 2020. "Eligible Purchases" means Wholesaler's net invoiced purchases of Equipment, namely condensers, furnaces, air handlers, heat pumps and packaged units, less returns and credits, and excluding freight, taxes and parts.

R.2 **Volume Rebate.** *Incremental application.* Each Rebate Rate applies only to the portion of Eligible Purchases falling within that Bracket's range. No Rebate Rate applies to Eligible Purchases in any other Bracket.

Bracket	Minimum annual Eligible Purchases	Rebate Rate
Bracket 1	$2,700,000	1.00%
Bracket 2	$4,700,000	1.50%
Bracket 3	$6,100,000	2.00%

R.3 **Payment.** Manufacturer shall pay rebates by credit memo no later than seventy-five (75) days after the close of the Program Year.

R.4 **Stock Rotation.** One time in each Program Year, Wholesaler may return current Products purchased within the preceding eighteen (18) months, in an amount not exceeding 5% of Wholesaler's Eligible Purchases for the prior Program Year. Manufacturer shall credit returned Products at the net price paid, less a restocking charge of 10%. Every return requires a return authorization, which Wholesaler must request no later than ninety (90) days after the close of the Program Year.

R.5 **Expired Programs.** The 2018 Heat Pump Accelerator (Rider 3 to the 2018 agreement) expired on the thirty-first day of December, 2018. It is of no further force and does not apply to the 2020 Program Year.